

1.1.2 Economic Middle Compression

Parallel to financial decline runs equally consequential social transformation. The share of adults living in middle-class households contracted from 61% in 1971 to 50% in 2021. More revealing: the share of aggregate income earned by the middle class shrank from 62% in 1970 to 42% in 2021.[3]

This compression directly impacts the political economy of climate policy. Clean energy tax credits designed to incentivize household-level adoption inherently assume a consumer base with sufficient disposable income and tax liability to utilize these instruments. When the economic middle contracts, the pool of households capable of accessing benefits narrows, concentrating uptake among higher-income cohorts as documented in the Borenstein analysis.

The momentum of this decline compounds over time. Households excluded from wealth accumulation opportunities in one generation possess fewer resources to participate in emerging opportunities in subsequent generations. The result: climate investment programs nominally targeting broad adoption actually reinforce existing economic stratification by creating new wealth-building opportunities accessible primarily to those already possessing advantages.

1.1.3 Institutional Capacity Collapse

The erosion of foundational institutional capacity presents perhaps the most immediate constraint. Current estimates indicate over 365,000 teaching positions filled by teachers lacking full certification, with an additional 45,500 positions remaining entirely unfilled—totaling at least 411,500 impacted positions nationwide, representing approximately one in eight teaching roles.[4]

When children receive instruction from under-certified teachers, the nation actively mortgages future competitive standing in an economy increasingly valuing knowledge capital above traditional factors of production. The trajectory of major policy decisions provides definitive indicators of priorities: the Trump administration’s executive order eliminating the Department of Education represents not merely political symbolism but a structural choice about resource allocation and institutional capacity.

The feedback dynamics merit careful examination. Reduced educational quality diminishes earning capacity through impaired literacy, numeracy, and cognitive skill development. Constrained earnings limit food budgets, driving consumption toward cheaper options exhibiting higher sugar density and lower nutritional quality. Evidence from dietary pattern research reveals that educational attainment correlates inversely with added sugar consumption: individuals holding bachelor’s degrees or higher consume approximately 29 kg annually, while those without high school diplomas consume approximately 40 kg—a 38% differential driven substantially by constrained household budgets.[5]

The resulting health consequences reduce workforce participation and productivity while increasing medical expenditures that further constrain household budgets. Children in these households face educational disadvantages perpetuating the cycle across generations. This represents a compounding negative externality where initial educational deficits generate cascading economic and health costs accumulating over decades, with present value substantially exceeding immediate fiscal savings from tolerating under-certified teachers or unfilled positions.

1.1.4 Mitigation Underinvestment and Adaptation Cost Escalation

The fiscal constraint discussion above acquires sharper definition when comparing mitigation investment to documented climate damage costs. The Joint Committee on Taxation estimated in December 2022 that Section 45Q carbon capture tax expenditures would total less than \$50